



DEUTSCHE BANK

- ▶ India debut: 1980
- ▶ Size of balance sheet: ₹1,48,000 crore

KEY FOCUS AREAS:

- ▶ Structured finance
- ▶ Fixed income, forex, MNCs
- ▶ Solutions for new economy companies
- ▶ Investment banking

“The bank follows the tradition of the ‘global hausbank’ and is the banker of choice for clients in India. Our corporate banking and investment banking business is very well positioned in this market environment”

KAUSHIK SHAPARIA

CEO, DEUTSCHE BANK GROUP, INDIA

As for BofA, which was the sole banker to manage the block deal through which Uber sold its stake in Zomato in August, investment banking is an area where it has been among the top players and it aims to maintain that position. “For Bank of America, M&A and capital markets remain our big focus areas. We are a leading investment banking franchise in India. We have a solid equities business with a large market share in the FPI space. This is backed by our world class research house,” says Nakhate.

For the Indian arm of Deutsche Bank Group, capital market-related activities hold significant importance. “We are among the largest in institutional securities services and fund management and hope to scale this segment further via our GIFT IBU,” says Shaparia.

A STRONG OUTLOOK

Standard Chartered’s Daruwala knows her bank has limited presence in terms of branch network but she says that her bank is present at the right places. “We are a small bank relative to large private sector banks, but we don’t see this as a constraining factor. We are present in about 42 locations in India, which is good enough. Nearly 70 per cent of the business that happens in India, happens in those 42 locations,” she says.

Foreign bank honchos are confident that going ahead, the role of these lenders will only increase as an increasing number of businesses—both Indian and global—look at cross-border expansions that would entail financing and advisory, among other things.

Dave of HSBC India doesn’t believe that foreign banks are losing market share in India. “The metric traditionally used to measure advances and deposit growth might not be the right metric for international banks,” he says. “For example, if you apply the metric of how many transactions the foreign bank industry has done, you will realise it’s much higher than the 4 per cent [market share of overall loans],” he explains.

DBS Bank India’s Shome says that India offers a very “competitive” market. “Domestic banks are very good; they have the technology... it is a competitive market where you have to be willing to stay the course,” he says.

The future play of foreign banks in India also depends upon the well-being of their global parents. The issues that global banking institutions are dealing with don’t seem to be getting any better. More than a decade after the Lehman crash, Credit Suisse Group AG, the world’s 45th largest bank by assets, has witnessed a massive collapse in its share price. Credit Suisse AG also has an Indian entity. Like its parent, the bank’s Indian entity has been focussing on investment banking, wealth management, and share brokerage services. While the loss-making bank’s new CEO, Ulrich Koerner, is scheduled to reveal a new strategy plan on October 27, the Indian branch is profitable and well-capitalised. But a setback at the global level will certainly have some implications for future capital allocation for the foreign banking pack in India. **BT**

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